

Fed report sets up pretext for White House to fire Barr

送信者: EG Geoeconomics 受信日時: 2026-09-19 23:09

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A report from the Fed will give ammunition for the White House to attempt to reshape the Board of Governors, though the conduct of monetary policy is |||

Quick take

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What Happened

Federal Reserve Vice Chair for Supervision Michelle Bowman yesterday announced the preliminary conclusions of a new external review of the collapse of Silicon Valley Bank (SVB) in March 2023. The report is critical of the Fed's supervisory culture, practices and decision-making, at a time of already substantial tension over monetary policy. Previous reports have suggested the White House would use the release to move to replace former Fed Vice-Chair for Supervision and current board member Michael Barr as part of its pressure campaign against the Fed. The White House issued a statement sharply critical of Barr, but the President has not yet directly addressed whether he would take action against Barr or others.

Our Take

We expect the White House will move to fire Barr within the next several weeks (70% odds). Bowman's publication of the preliminary conclusions of the report well ahead of the promised year-end deadline suggests an accelerated timeline that would allow the White House to create and fill a vacancy on the Board during this Congress. Filling an empty Barr seat this year will be difficult, as Barr is likely to challenge the firing in court and will have Republican supporters in the Senate. The Fed has seen long-lasting vacancies in the past.

This firing will have more political and legal legitimacy than the Cook firing. Should Barr decide to contest the firing, the courts would need to rule on if the White House has sufficient cause to do so and whether Barr was accorded adequate due process. While the Supreme Court blocked Governor Lisa Cook's removal and has given the Fed special status among independent agencies, board members can still be fired for cause. The case against Barr rests on actions taken while he was in his position, and issues for which he was directly and individually responsible (though many of the criticisms relate to a culture of risk aversion among supervisors that substantially predated his arrival). Moreover, the president may have a more compelling case publicly, as weak supervision was one of several factors contributing to a high-profile bank failure.

It is possible the White House does not act (30% odds), either because of concerns about the court blocking Barr's removal or to keep an oppositional board together as a scapegoat for future rate hikes.

We do not see this as affecting the course of monetary policy. The White House will continue to give Chair Kevin Warsh room to respond to economic conditions, though he may perceive a slightly tighter leash. The Fed is unlikely to get directly involved in the dispute. Moreover, material changes in Fed policy (including proposals from Warsh's task forces due by the end of the year) are unlikely to be affected by a single seat change. Should Barr leave, it might ease the path for Bowman to extend her deregulatory efforts. But the Fed's current tightening cycle will not be altered. This suggests the market reaction should be muted compared to the Cook episode. Still, the removal of a sitting board member will set a precedent that is likely to be repeated.

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